

How We Score Customers

RFM Methodology · Dunnhumby: The Complete Journey

R — Recency

Days since last purchase
Score 5 = shopped yesterday
Score 1 = last seen 658 days ago
Reference day = 712

F — Frequency

Distinct shopping trips
Score 5 = 1,300 trips
Score 1 = 1 trip
Method: NTILE(5)

M — Monetary

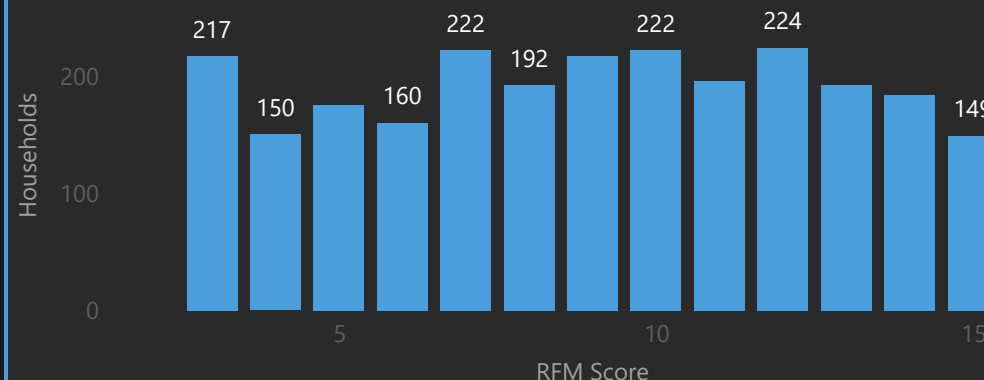
Total spend over 2 years
Score 5 = \$38,319
Score 1 = \$8
Excludes \$0 promo items

RFM Score = R + F + M ·
Range: 3 (worst) → 15 (best)

8 Customer Segments — Rule-Based Classification

Segment	Count of household_key	Average of RFM_Score
Champions	512	13.84
Loyal	327	11.55
Potential Loyalists	302	9.76
At Risk	568	8.38
New Customers	31	7.35
Low Value	61	5.43
One-time Buyers	199	5.05
Lost	500	4.73

RFM Score Distribution



Dataset Highlight

2500

Households

711

Transaction window(Days)

0

Uncategorised households

\$2,158

Median 2-Yr Spend

1300

Most Trips by a household

658

Longest Absence (days)

Scoring method: SQL NTILE(5) quintile
binning

Equal population per bucket (~500
households each)

Recency inverted: lower days = higher score

RFM Customer Segmentation — Executive Summary

Dunnhumby · 2,500 Households · Jan 2017 – Dec 2018 · Retail Grocery · USA

2,500

Total Households

\$8.06M

Total Revenue (2 Yrs)

42.7%

Churn Rate (At Risk + Lost)

\$2.16M

Churn Revenue

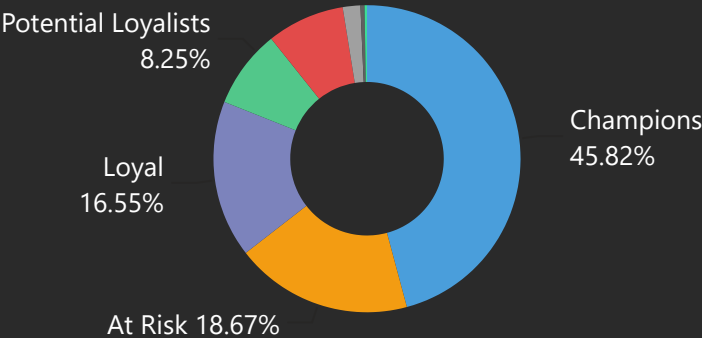
17.4%

Coupon Redemption Rate

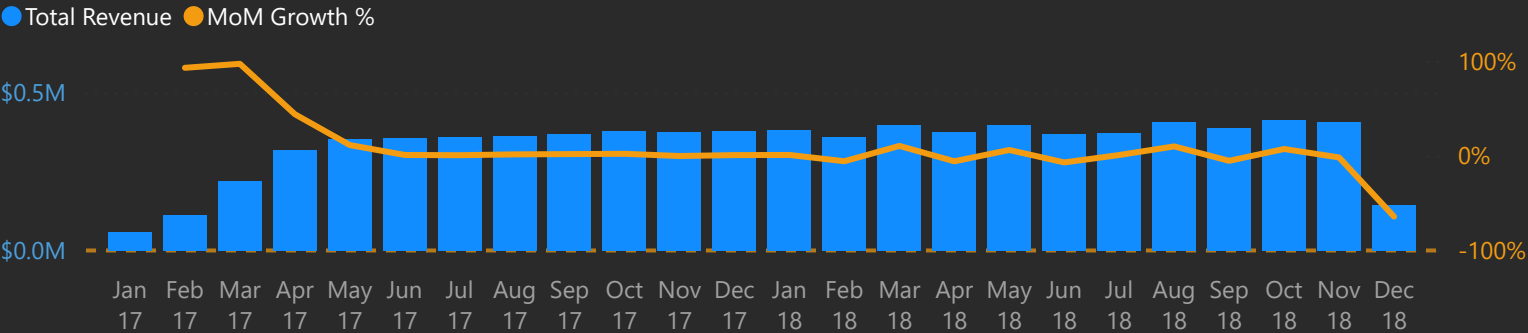
97.9%

Campaign Response Rate

Revenue Contribution by Segment



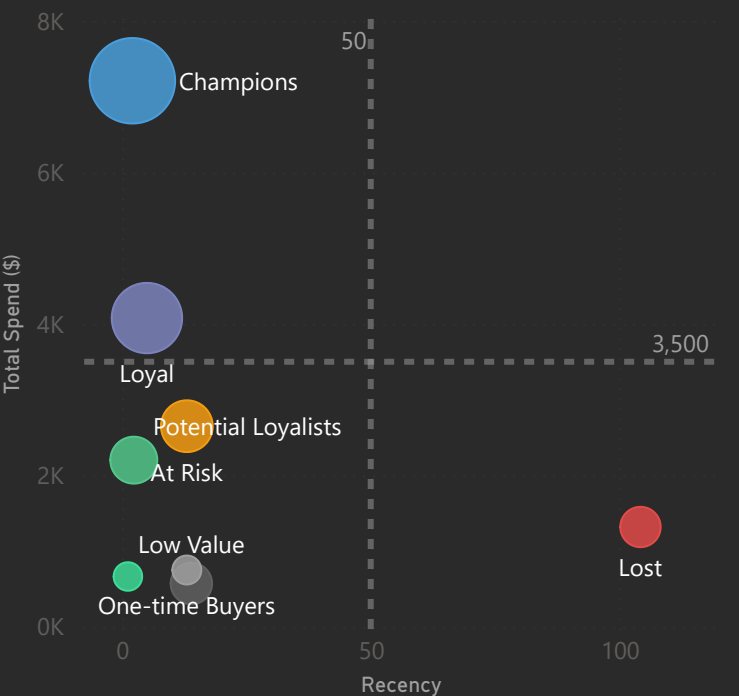
Monthly Revenue Trend



Household Distribution by Segment



Customer Landscape — Recency vs Spend

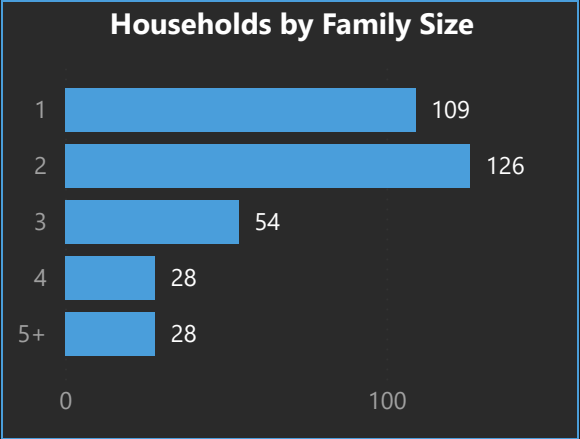
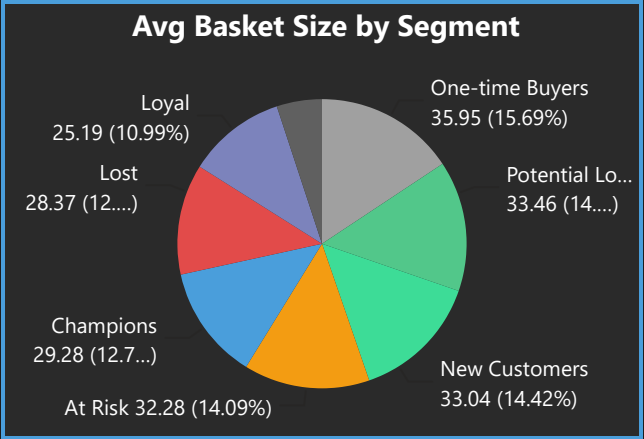
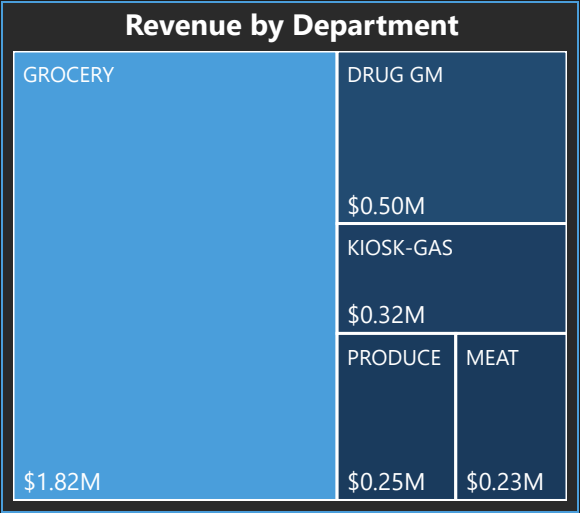
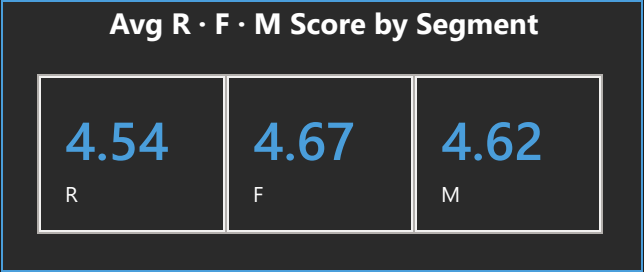
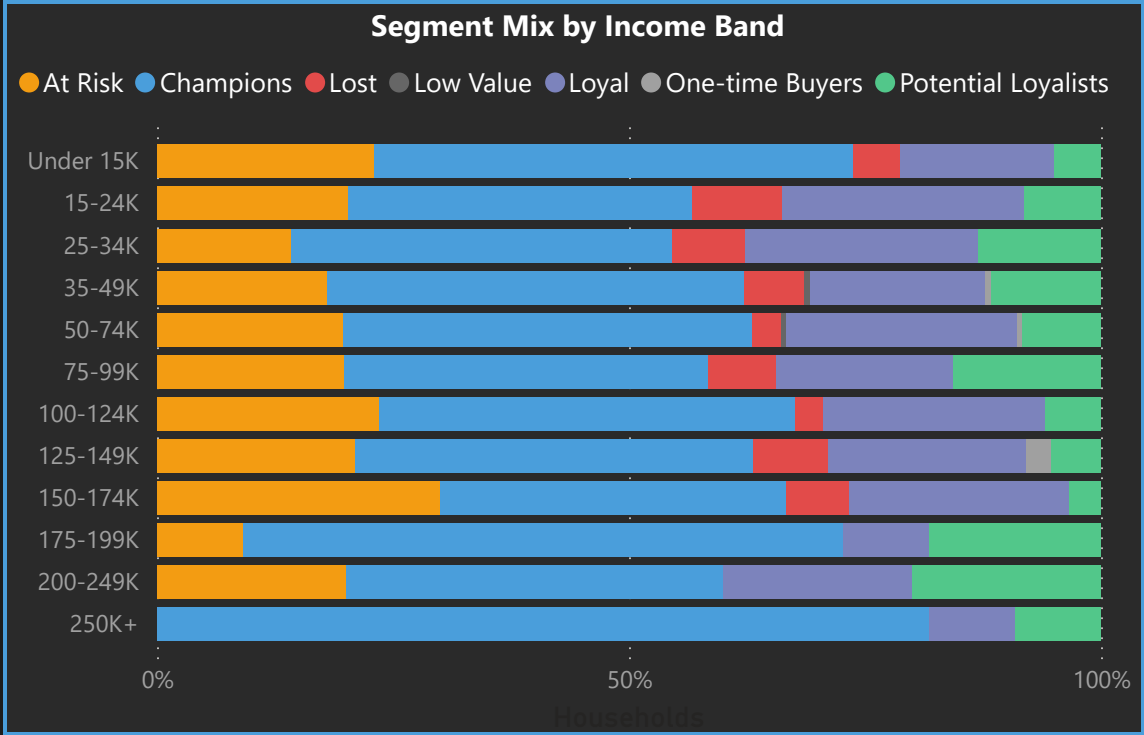
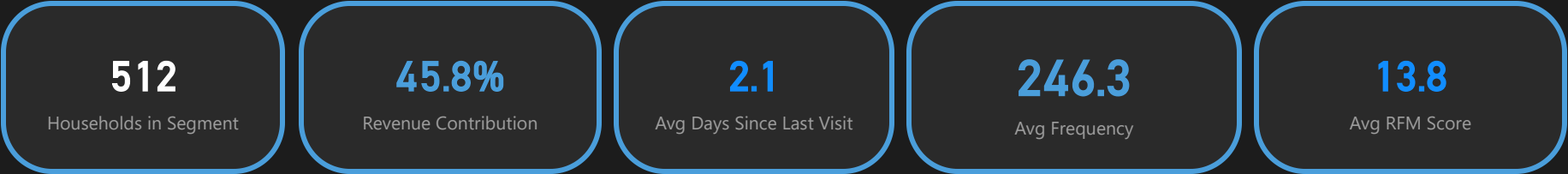
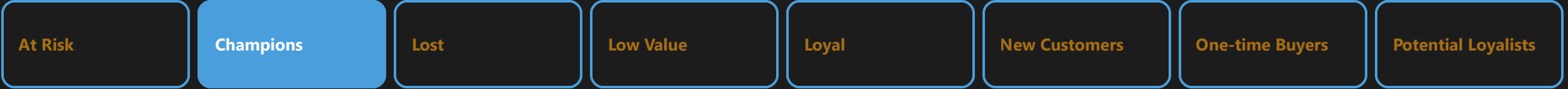


Key Finding: 42.7% of households show churn signals · Champions are 20.4% of customers but 45.8% of revenue, recency every 2 days drives their outsized value · Coupon spend concentrates on customers who buy anyway

Segment Deep-Dive — Who Are Our Customers?

Select a segment below to explore demographics and buying behaviour

Based on 801 households with known demographics (32% of total)



Key Finding: Higher income households skew Champion-heavy · 2-person households are the largest segment across all groups ·

Promotion Intelligence — Are We Wasting Spend?

Campaign response and coupon redemption analysis by customer segment

TypeA

TypeB

TypeC

30

Total Campaigns Run

1584

Targeted Households

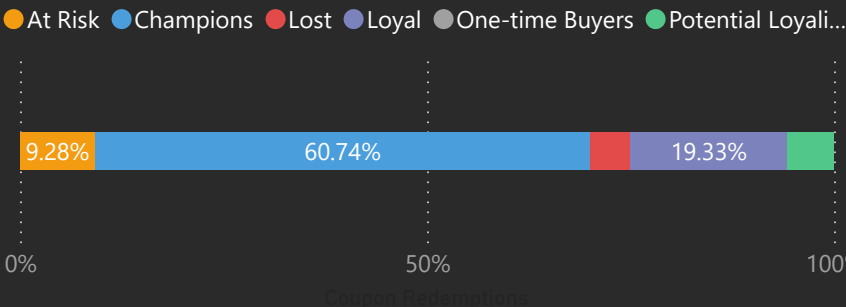
916

Never Targeted

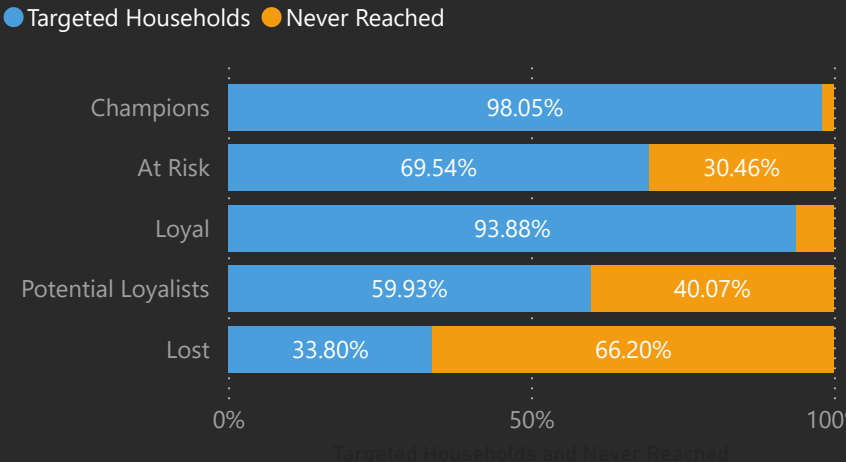
17.4%

Coupon Redemption Rate

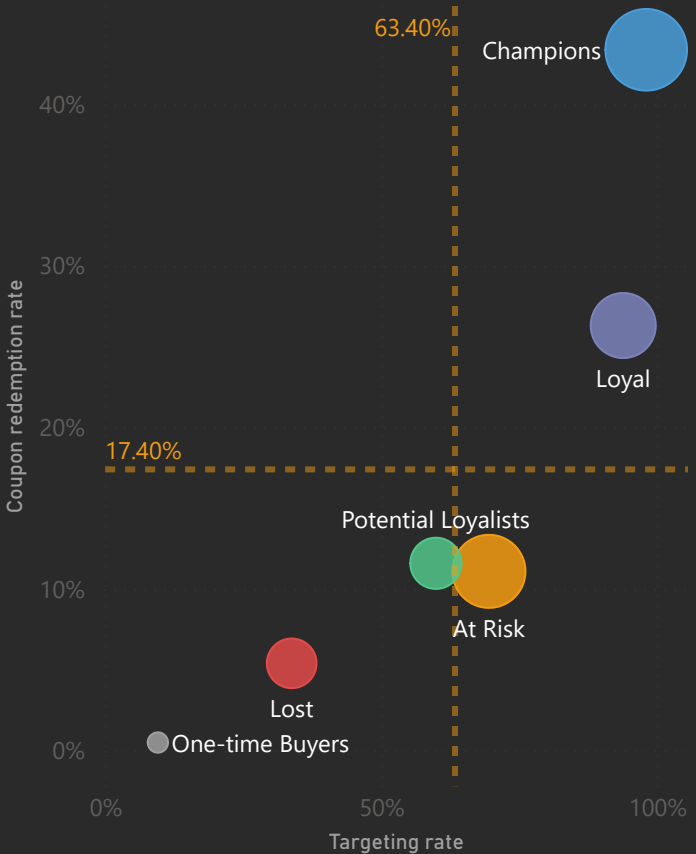
Share of Total Coupon Redemptions by Segment



Targeted vs Untargeted Households by Segment



Targeting Efficiency vs Coupon Behaviour



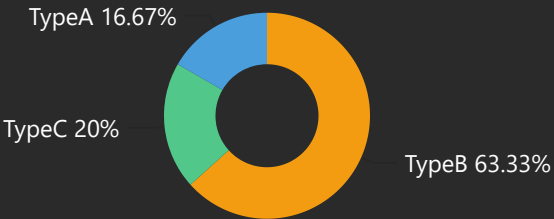
63.4%

Targeting Coverage

4.55

Avg Campaigns Received

Campaign Type Distribution



⚠ Response Rate Caveat 97.9% campaign response reflects baseline shopping frequency — not true campaign lift.
Avg campaign window = 47 days.
Median household shops every 9 days regardless of whether they received a campaign.

Key Finding: 916 households never targeted · Champions over-targeted at 99% yet absorb 60% of coupon value · Lost customers show lowest ROI at 5.4% redemption